

A NEW STITCH



As a group, Raymond has clocked a billion dollars in revenue for the first time in its 98-year history



It is now solidly in the black, with two successive years of growing profits after sinking into the red during the pandemic



The promoter has hired a slew of professional leaders over the past two to three years to drive sustained growth



Real estate has become a surprise revenue and profit contributor, with the company leveraging its landholding in Thane



All of Raymond's businesses are growing well, across textiles, apparel, real estate, engineering and auto components, and denim



Raymond believes the western world's China-plus-one play will be beneficial not just for India as a country, but also for the company's businesses

IT'S MY DAUGHTER'S BIRTHDAY."

No, Gautam Hari Singhania was not inviting this correspondent to his daughter Niharika's 17th birthday bash. He was making the point that on December 10, 2022, Raymond's real estate business would open for possession the first set of 900 apartments to customers of Ten X Habitat, a 3,103-apartment complex on Thane's Pokhran Road. This date was decided and announced in early 2021. Big deal? A promoter chooses his daughter's birthday to announce a new launch. So what? Well, two things. One, this was Raymond Realty's first project. And two, the delivery date was two years ahead of the RERA deadline of December 2024. Singhania, 58, admits it was risky, and puts the decision down to naiveté. "We didn't know the game. So, we wrote our own rulebook," he says, looking relaxed and in control in a dark blue T-shirt, chinos and casual shoes (all made to measure, mind you), as we chat up in the fancy Atelier Lounge on the second floor of JK House, his residence-cum-office in Mumbai. (Read the full interview on page 40.)

With ₹1,115 crore in sales in FY23, real estate's success has propelled Raymond to profitability after a harrowing time in FY21, and underscored its viability as the next

big growth driver for the organisation. Pummelled by the pandemic and, especially, the lockdowns, Raymond's businesses had seen some of the toughest times in its 98 years. Sales of its traditional businesses—branded textiles, branded apparel, garmenting, high-value cotton shirting and, to a lesser extent, engineering & auto components—plunged between 7 per cent and 59 per cent that fiscal, and the company's bottom line slumped to a loss of ₹297 crore (see charts).

From there, Singhania doggedly engineered Raymond's recovery, taking the scimitar to costs, excess inventory and non-performing stores, and generally just *deciding* to not quit. He also hired a bunch of grizzled professionals in leadership positions including the heads of the real estate and lifestyle businesses, a new CFO, and a Vice Chairman with multinational exposure, between July 2020 and July 2022 (see Raymond's A-Team). In FY22, Raymond's bottom line returned to black, and in FY23, net profits doubled and revenues notched up its highest-ever value of ₹8,337 crore, making it a freshly minted billion-dollar organisation. "Vision is 20:20 in hindsight, but we built a real estate business, we built a full new team of people, we built a profitable business, you've seen four quarters of proper delivery, it's all happened, not by chance," says Singhania.

"Reduction in inventory levels, which led to reduction in working capital requirement and debt levels, really led to the recovery of its balance sheet," says Abhijit Kundu, Senior Vice President of Research at Antique Stock Broking. "And then it also cut down on non-performing branded apparel stores, and focussed on more efficiency. That really led to the overall recovery of operations post-Covid-19."